WAVERLEY GATEWAY GUIDE

Connecting International Capital with Emerging & Frontier Markets

UGANDA

Africa

Information current as of October 2026

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office@lordwaverley.com
www.lordwaverley.com

WHERE AND HOW TO ENTER

KEY INVESTMENT LOCATIONS

Location / Region	Strategic Importance	Priority Sectors
Kampala	Capital and commercial centre; seat of government, the Bank of Uganda and the main banking, services and distribution networks	Financial services, retail, real estate, ICT
Albertine Graben / Lake Albert (Buliisa, Hoima, Kikuube)	Home to the Tilenga (TotalEnergies) and Kingfisher (CNOOC) oil projects, with around 1.4 billion barrels of recoverable oil and a planned peak output of about 230,000 barrels a day	Oil and gas, oilfield services, construction
Hoima	Starting point of the export pipeline and site of a planned refinery, for which a $4 billion agreement was signed with the UAE's Alpha MBM Investments	Refining, logistics, supply-chain services
East African Crude Oil Pipeline (EACOP) corridor to Tanga, Tanzania	1,443 km export pipeline with 1,414 km laid and buried; the regulator expects the line to receive crude by mid-December 2026	Energy transit, engineering, logistics
Entebbe	Site of the country's international airport on Lake Victoria; gateway for air freight, horticulture exports and tourism	Aviation, air cargo, hospitality
Central and western coffee belt	Heartland of a coffee sector that earned $2.19 billion in FY2025/26 and remains a leading foreign-exchange earner	Coffee, agro-processing, agricultural inputs
Industrial and business parks and free zones (nationwide)	The Uganda Investment Authority is developing more than 20 industrial and business parks, complemented by export-oriented free zones	Manufacturing, agro-processing, light industry

INVESTOR ENTRY ROUTES

- Uganda Investment Authority (UIA), the national investment promotion agency, issuing investment licences and incentives and running a One-Stop Centre for company registration
- Investment Code Act 2019, under which foreign investors in priority sectors can access incentives subject to local-sourcing and export conditions
- Free zones regime (Free Zones Act 2014), now overseen by the Uganda Free Zones and Export Promotion Authority, offering duty-free import of machinery and inputs for producers exporting at least 80% of output

- Industrial and business parks offering tax incentives, customs-duty exemptions on equipment and raw materials, and land on favourable terms
- Bank of Uganda oversight of a liberalised foreign-exchange market with a market-determined shilling
- Oil and gas participation through licensing by the Petroleum Authority of Uganda and partnership with the Uganda National Oil Company across upstream, pipeline and refinery projects
- Regional market access through the East African Community (EAC) Customs Union, COMESA and the African Continental Free Trade Area (AfCFTA)

MARKET-ENTRY OBSERVATION

Uganda in October 2026 is one of Africa's steadiest growth stories, on the threshold of becoming an oil producer. The Uganda Bureau of Statistics estimates growth of 6.4% in FY2025/26, following 6.3% in FY2024/25, while inflation averaged just 3.4% over FY2025/26. The UNCTAD World Investment Report 2026 ranks Uganda as Africa's second-largest recipient of announced greenfield investment, lifted by the $4 billion Hoima refinery agreement, and FDI inflows reached $3.12 billion in 2024. The oil programme is well advanced: 1,414 km of the 1,443 km EACOP pipeline has been laid, the line is expected to receive crude by mid-December 2026, and first commercial oil and exports are now targeted for June 2027. The IMF expects growth to strengthen further as production begins, and the Bank of Uganda continues to project medium-term growth of about 8%.

Uganda's main near-term challenge is managing external pressures while oil revenues come on stream. Higher global fuel prices linked to the Middle East conflict widened the current account deficit to $4.6 billion and weakened the shilling, prompting the Bank of Uganda to raise its policy rate decisively from 9.75% to 12% at a special meeting on 14 October 2026; the shilling strengthened by about 4.5% on the day. The authorities have buffers to work with: gross reserves stood at $6.1 billion at end-May 2026, public debt is around 55% of GDP, and the 2026 Ebola outbreak was contained and declared over on 28 July. The IMF's reform agenda, including a Domestic Revenue Mobilisation Strategy and a transparent oil-revenue framework, provides a clear path, and oil exports from 2027 are expected to narrow the external deficit and diversify a merchandise export base currently led by gold and coffee.

INVESTOR RISK & MARKET ACCESS

KEY ENTRY BARRIERS

Issue	Potential Impact	Possible Mitigation
Timing of first oil	First commercial oil is now targeted for June 2027, after several earlier target dates passed; pipeline and field works are well advanced	Phase oil-linked commitments to verified project milestones; the long build-out has created a substantial supply-chain and services market
Shilling movements and imported fuel costs	The shilling has weakened in 2026 and the Bank of Uganda expects headline inflation of 7–7.5% over the next 12 months, up from 4.6% in September	The central bank's 225-basis-point rate rise signals a firm commitment to stability; hedge local-currency exposure, while exporters gain competitiveness
Fiscal and debt pressures	The IMF projects a fiscal deficit of 7.1% of GDP in FY2025/26 and public debt of about 55% of GDP ahead of oil revenues	IMF-backed revenue and public financial management reforms are under way, and fiscal constraints are opening space for private and PPP finance in infrastructure
Governance and business environment	The IMF has called for a stronger anti-corruption framework and judiciary, and investors cite the tax regime and administrative delays as challenges	Conduct thorough due diligence, include international arbitration clauses and co-invest alongside development finance institutions
Export concentration	Gold and coffee accounted for about 70% of merchandise export earnings in FY2025/26	Oil exports from 2027 and value addition in coffee, agriculture and minerals offer diversification opportunities
Landlocked geography	Trade relies on transit through Kenya and Tanzania, adding to logistics costs	EAC customs union membership and the EACOP route to Tanga strengthen regional connectivity; logistics and warehousing are growth sectors
Public-health and climate shocks	Uganda contained a 2026 Ebola outbreak, declared over on 28 July, and remains exposed to climate-related shocks	Proven outbreak-response capacity limits disruption; build business-continuity plans and consider climate-resilient agriculture

Issue	Potential Impact	Possible Mitigation
		opportunities

INVESTOR RISK NOTE

Uganda's risk profile is that of a fast-growing frontier economy approaching a transformational oil milestone. Growth has held above 6% for consecutive years with low average inflation, and the Bank of Uganda's swift response to the October 2026 fuel and currency pressures demonstrates a credible commitment to macroeconomic stability. The principal considerations are the timing of first oil, now targeted for June 2027, exchange-rate movements while the external deficit remains elevated, and a fiscal position that the IMF expects to strengthen as revenue reforms take hold. Governance and administrative challenges are real but manageable with sound due diligence and partnerships. Investors in oil-linked sectors should plan around milestone-based timelines, while investors in agriculture, manufacturing and services can benefit from strong domestic demand and growing regional markets.

MARKET ACCESS

Uganda is a member of the East African Community (EAC) Customs Union, providing duty-free access to a regional market of more than 200 million people, and of COMESA; it ratified the African Continental Free Trade Area (AfCFTA) agreement in 2018 and is a WTO member. Its leading export destinations in 2024 were the UAE ($2.2 billion), Kenya ($583 million) and the Democratic Republic of Congo ($489 million), while China, India and the UAE were the main sources of imports. Goods move mainly via the Kenyan and Tanzanian ports, and from 2027 crude exports will flow through the EACOP pipeline to the Tanzanian port of Tanga. Strong trade links with neighbouring markets, notably Kenya and the DRC, make Uganda a natural regional production and distribution base.

WHO SHOULD THE INVESTOR MEET?

INSTITUTIONAL LANDSCAPE

Actor	Why It Matters	Waverley Engagement Angle
Office of the President (Yoweri Museveni)	Sets national economic strategy; President Museveni began a seventh term on 12 May 2026, giving policy continuity	Primary reference point for strategic direction and flagship projects
Uganda Investment Authority (UIA)	National investment promotion agency; issues investment licences and incentives and is developing industrial and business parks	Standard first point of contact for market entry and incentive guidance
Bank of Uganda (Governor Michael Atingi-Ego)	Monetary authority; raised the policy rate to 12% in October 2026 to anchor inflation and the shilling	Relevant for currency, banking and macroeconomic stability matters
Ministry of Finance, Planning and Economic Development	Leads budget, debt and revenue policy, including the IMF-recommended domestic revenue and oil-revenue frameworks	Key counterpart for fiscal incentives, PPPs and public investment
Ministry of Energy and Mineral Development and the Petroleum Authority of Uganda	Set policy for and regulate the oil, gas and minerals sectors	Essential for licensing and regulatory engagement in extractives
Uganda National Oil Company (UNOC)	State oil company holding Uganda's commercial interests in the upstream projects, EACOP and the planned refinery	Central partner for oil and gas and refinery-linked investment
Uganda Free Zones and Export Promotion Authority	Merged body overseeing free zones and export promotion	Relevant for export-oriented manufacturing and free-zone licensing

CURRENT INTERNATIONAL BUSINESS CHANNELS

The Private Sector Foundation Uganda, the Uganda Manufacturers Association and the Uganda National Chamber of Commerce and Industry are the main domestic business bodies, alongside the American Chamber of Commerce in Uganda for international firms. The Uganda Investment Authority holds regular investor engagements, including

its Investors Baraza, and maintains sector-specific outreach. TotalEnergies, CNOOC and their contractors maintain a substantial in-country presence and are a useful source of intelligence on oil-sector supply chains. The World Bank Group, African Development Bank and IMF maintain active programmes, and development finance institutions are important co-financing partners for infrastructure, energy and agribusiness.

INVESTOR PROFILE BEST SUITED

Uganda suits investors with a medium- to long-term horizon seeking exposure to a fast-growing economy: oilfield services, engineering and logistics firms positioned for the production phase; agribusiness and food-processing investors building on Uganda's strength in coffee and other crops; manufacturers using industrial parks and free zones to serve EAC and wider regional markets; and infrastructure, energy and financial-services investors, often alongside development finance institutions. Investors should apply currency hedging and milestone-based planning for oil-linked projects.

FROM INTELLIGENCE TO ENGAGEMENT

STEP 1: Engage the Uganda Investment Authority on licensing and incentives
Open dialogue with UIA to confirm eligibility for Investment Code incentives and to identify suitable industrial-park sites.

STEP 2: Map opportunities in the oil and gas value chain
Engage UNOC, the Petroleum Authority and the main operators on supply-chain needs ahead of first oil, targeted for June 2027.

STEP 3: Build currency and inflation scenarios into project planning
Model shilling movements and the October 2026 policy tightening, and apply hedging for projects with significant local-currency exposure.

STEP 4: Use free zones and EAC access for export-oriented projects
Consult the Uganda Free Zones and Export Promotion Authority on free-zone licences that support production for regional and global markets.

STEP 5: Partner with development finance institutions
Explore co-financing with the World Bank Group, African Development Bank and other DFIs to strengthen project bankability and governance.